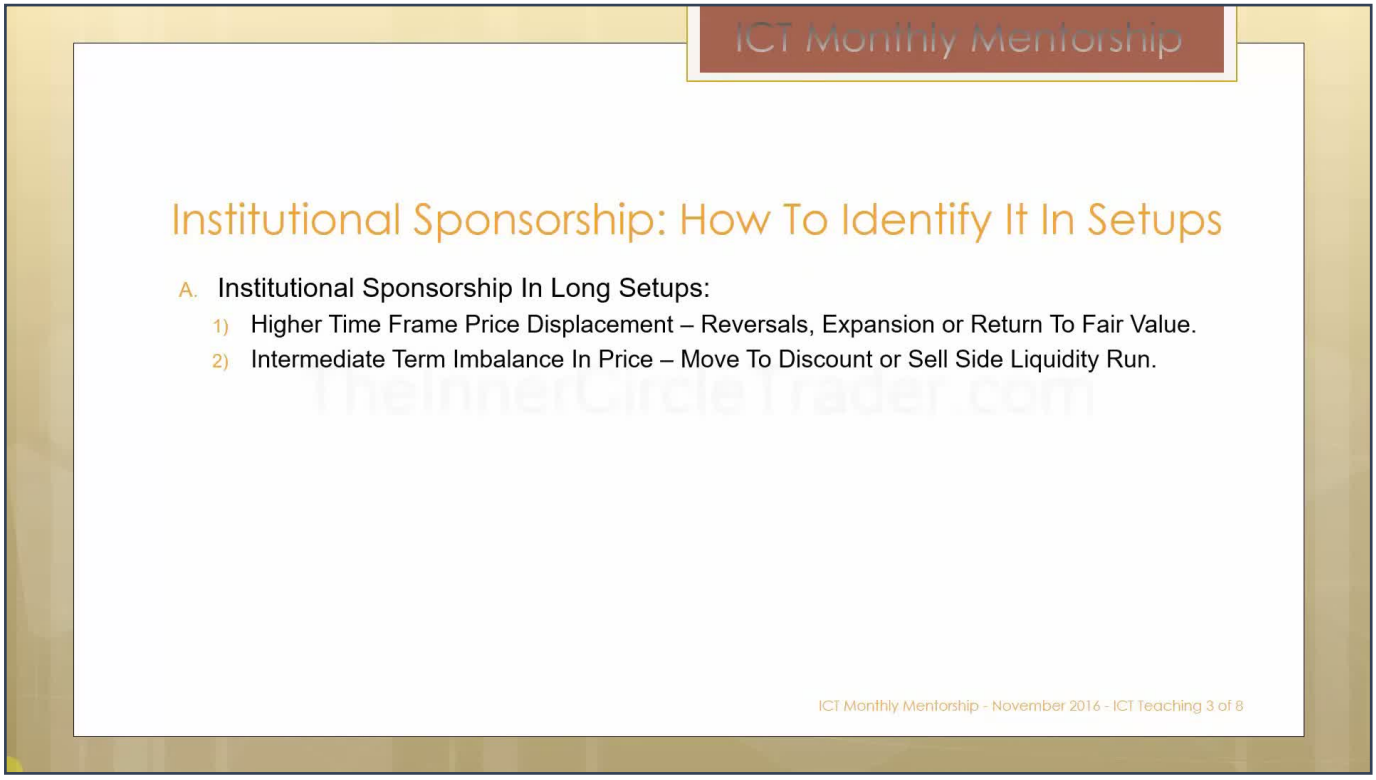
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 03 - INSTITUTIONAL SPONSORSHIP

Welcome back to lesson three of month three of the mentorship. We will be dealing specifically with institutional sponsorship and how to identify it in setups.

First, we're going to look at institutional sponsorship in long setups. The key to identifying institutional sponsorship in long setups is the notation of a higher time frame price displacement, which can come in the form of a reversal, an expansion, or a return to fair value.



This involves an intermediate term imbalance in price, which is a move to discount or a sell-side liquidity run. In other words, the price is going to actually retrace, or it can begin by going below an old low to run out the sell stops.

Once one of these two occurrences appears in your chart, the next thing you'll be looking for is short term buy liquidity above the marketplace. This is ideal for pairing long exits to sell to.

Obviously, you're going to be looking specifically for time of day influence, such as London Open for the low of the day or a New York session low formation.

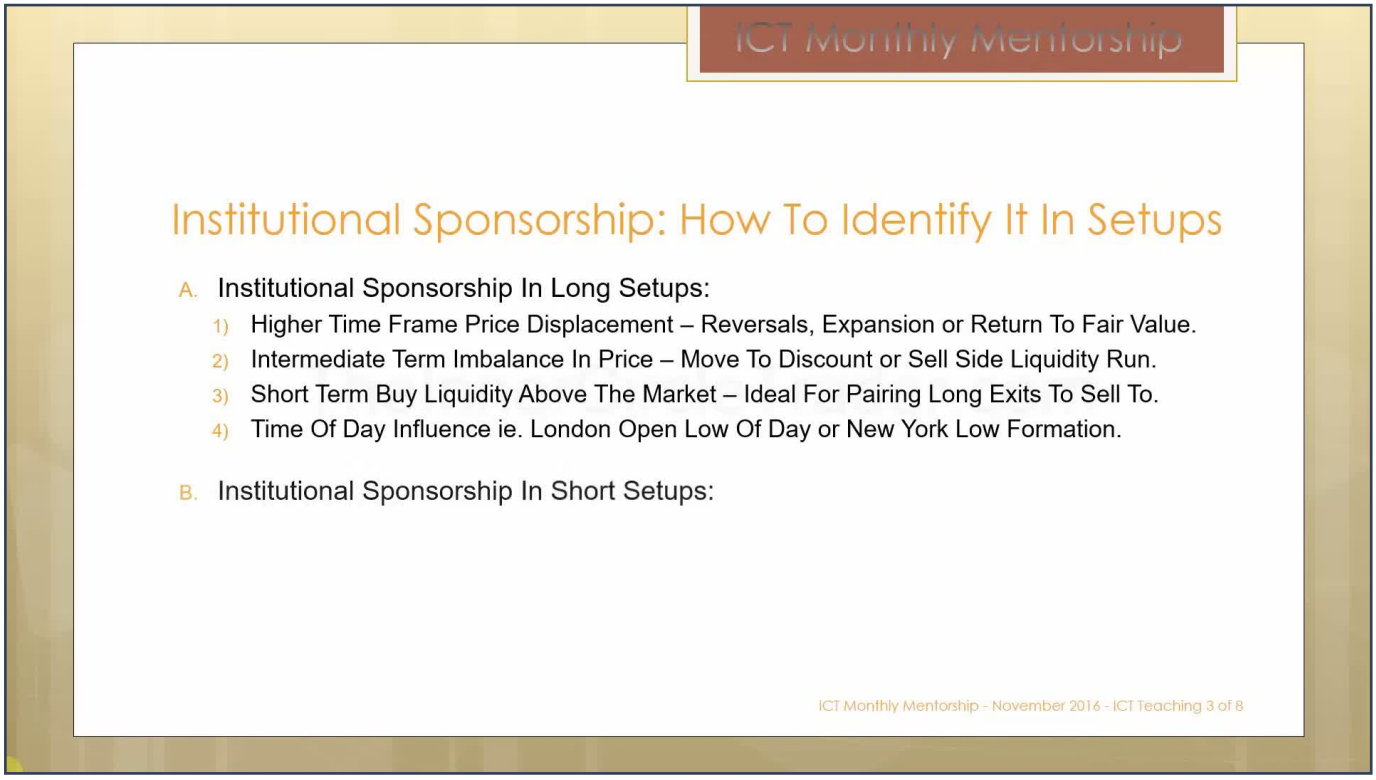
It's important to understand that criteria number one and number two set up the expectation for institutional sponsorship. Then, we see the actual institutional sponsorship come in by way of attacking the marketplace for the buy side liquidity that would be resting above the marketplace.

In other words, we have buy stops typically above old highs when we're short. The assumption is, and again, I teach the role playing model that gives us the perspective of a market maker, so you have to have that market maker perspective on price.

We look to sell high, but we have to find buyers that are willing to buy higher from us. So, the criteria is we have to look for short-term buy liquidity above the marketplace. It's going to be layered by stops throughout the marketplace because there's all kinds of trading that goes on: long-term swing trade, short-term day trading, scalping.

You have to look at the higher time frame for that short term buy liquidity to give us a framework to see if there is in fact institutional sponsorship in your setup. And obviously, you'll see these characteristics come to fruition by studying the time of day influence.

Obviously, you're not just studying it; eventually you're going to be actually trading in the marketplace at these specific times of the day: London Open, New York Session, London Close, and sometimes Asia.



And obviously, the opposite would be for institutional sponsorship in short setups. We're looking for, much in the same way we saw for the long setups, it's in reverse.

- Higher time frame price displacement: reversal, expansion, or a return to fair value.

- Intermediate term imbalance in price: seeing price move to a premium or moving towards the buy side liquidity to make a run on the buy stops.

- Short term sell liquidity below the marketplace: This is going to be ideal for pairing short exits to cover. Obviously, those sell stops, we're going to be buying those from the counterparties in the marketplace.

Just like we did with the long setups, we would be looking for time of day influence, i.e., London Open high of day or New York high formation.

Now, in this specific teaching, we're only dealing specifically with the institutional sponsorship seen in long setups. Everything you see in the example would just be reversing that for the criteria used in the short setups.

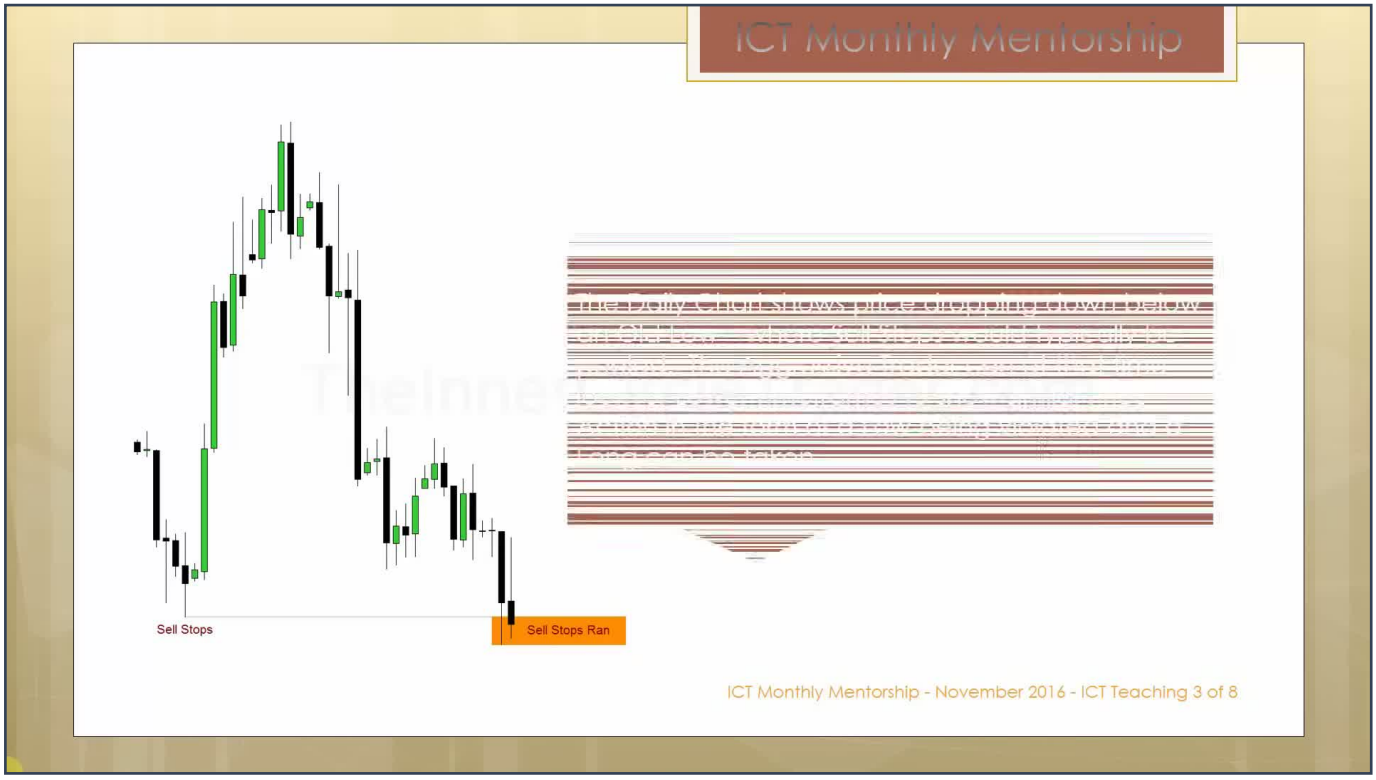
Okay, we're looking at a higher time frame chart. Just for disclosure sake, this is a Japanese Yen, US Dollar versus Yen, and we're looking at a daily chart of that particular pair. I've given you an ideal scenario where we can study a sample set of data. It's not cherry picking; you guys can go through charts and actually see some of these things come to fruition many, many times.

But the criteria for our setups to be high probability is we have to have institutional sponsorship.

What is institutional sponsorship specifically? It's the willingness to protect an underlying price swing that has high probability of unfolding.

I'm going to outline that throughout this entire teaching, but I want you to understand simply, institutional sponsorship is just the impact of large institutions, banks, and big equity traders coming in to fund the side of the marketplace that you anticipate seeing it run towards a particular side of the marketplace.

For instance, we're looking at a buy setup; we're going to be measuring and trying to identify characteristics that lead us to the assumption and ultimately an understanding of institutional sponsorship as a concept, so that way we can go forward in our trading and start looking for these fingerprints that are many times repeating over and over again when we use higher time frame setups.



Now looking at this daily chart, you see it shows price dropping down below an old low. This is typically where sell stops are going to be residing, or as we call it, a liquidity pool. Sell stops will pull below this old low, and everyone that would be wanting to go long, they would have a sell stop right below that. And the fact that because everyone's doing that same idea, putting a sell stop here, that's where the idea of a liquidity pull comes from; all those orders are pulling together, creating a pocket, if you will, of selling interest.

Now it doesn't mean that they want to go selling short. Some folks out there would see that as a particular interesting level to be short at a later time should we break below it, but in this case, when we see a price run like that, we obviously have to assume again, it's that market efficiency paradigm again: participants are looking to protect long positions there, so it's not that they want to get short, they want to get out of the long position.

So, if we ever see a price move, the sell stops are ran out. Now an aggressive trader, they can see this as an opportunity to go into a lower time frame as that low is violated here, right on this candle here. You can go into a lower time frame and look for a similar pattern because price is fractal. That means everything you see on one time frame is replicable on the higher time frame and the lower time frame.

In other words, it's going to have a lot of similarity throughout all the time frames because price is still price. So you can look into a lower time frame and actually study the price action and come to basically the same idea you're seeing here, an old low. So we would wait for short term price action on a lower time frame to create that same scenario, which is a low being violated because everything on price is fractal.

By having that understanding and expectation, we can take a long position. But we're going to go one step further, and we're actually going to start looking for evidence of institutional sponsorship.

Now looking at this setup, what's the first thing that comes to mind for you as a trader? Obviously, going back to September's content, there are some things I told you to look for in terms of studying price action.

What should you be focusing on? Well, if we're anticipating a market move higher from down here after a run below the old lows, we start looking for, okay, where could this market go to?

We have a short-term high here, we have a short-term high here. Look at this big candle here. I wonder what that's going to suggest to us. And how about this old high back here? We have a nice price move here. Price could ultimately go back up here, or it could just come in this area here, closing that range, or it can come up and clear these relatively equal highs.

Remember the things we talked about in September? I gave you as bullet points for you, as soon as you go into a price chart, those are the same things you look for all the time. They're not changing, not morphing. It's the same premise every single time we look at price action.

But looking at what we see here, price is forming a potential bullish order block. Now this old high here, obviously we know what's going to be resting above that: it's going to be buy stops.

We have a last down candle here. Price is now reaching into that right here, and it's also just one more time into that area right below this old low. So we did one more time poke our head just below that level. So we can anticipate now some sensitivity and protection of seeing the price not go lower.

That's what we're anticipating. So if we see that, we're to see what characteristics of institutional sponsorship, that means the banks are coming in and they're capitalizing that old low back there. That means they're buying it again.

Notice again that range up here, what is that? It's a liquidity void. So inside this liquidity void and above this old high, what do we have up here? This is called buy side liquidity. That means there's a willing participant or pool of buyers up there.

So when we start talking about open float, we'll be referring to a lot of these ideas as well, but open float can be a little confusing because it's relative to the time frame you're looking at. So while we're working on higher time frames, I'm just going to focus primarily on classifying this as what it is: buy side liquidity in the marketplace.

So as a market maker, they see these opportunities to sell the run the stops that are below this old low. Below an old low to take the sell stops. What is that implying? They're probably accumulating those sell stops in the form of taking the buy side of it. So if they're willing to buy those sell stops up, that means they're primarily building a net long book.

And if we have suggestions in the marketplace in the form of price action suggesting that we have buy side liquidity in the form of a liquidity void and old equal highs back here, we may see in fact a very easy, low risk, high probability trade scenario to be long.

And obviously you see the results of price; later on it takes off and fills that void in.

Now, by itself, you may not have caught that trade, you may not have seen this trade, you may not have seen it as we're describing here because obviously we have the benefit of hindsight. But let's assume for a moment we're going to go through the characteristics of what we just outlined in the beginning of this teaching: what we have to look for is higher time frame displacement in price. That's what you're seeing right here. This is higher time frame price displacement. That means there is clear evidence that there is a large entity entering the marketplace.

The reason why we know that is because if this is a daily chart, daily charts are not going to move that dynamic without sponsorship behind it by banks or large institutions or big equity traders. Again, the reason why we focus on the daily chart is because that's where the banks are trading off of. Those levels are key to those institutional level traders.

So when we see this, obviously we have to go back to where did that move begin? Everything has to have an origin. So we go back to the beginning of that price swing that higher time frame price displacement has to have a root price level at which we can classify as an institutional sponsorship level.

In other words, where everything started from. So if we can arrive at that, we can break down the marketplace and wait for another opportunity should it get down to that level again. That comes in the way of this order block right here, that last down candle. We're using the body of that candle here, not so much the wick, because the 'book' is basically the body of this candle as well.

Price comes down and hits that level. Now again, to identify institutional sponsorship in a particular segment of price action, you need to see immediate dynamic response. If it's lethargic, if it's not willing to move right away, that means there is no institutional orders in that area.

So therefore, if you're in a trade and you see that lackluster activity, the first thing you should be thinking is either reduce risk, cut the position in half, or just completely bail on the trade. You can always re-enter at another time, you can always go back in on another continuation pattern. But do not force yourself to marry an idea that it has to be just because you entered the trade. If the trade idea doesn't show you evidence that it wants to move in your favor dynamically, don't ever regret or feel bad about wanting to collapse that trade.

Because even if it moves in your favor after you collapse it, if you have the characteristics that we're describing here in this teaching in your trade and you start seeing it, chances are you're probably not in a good mood. If you're on the right side of the marketplace, the market's going to move dynamically immediately as soon as you get in. If you are offside, you're going to see either the market hauling him hauling and back and forth, you know, stalling and then ultimately reversing on you. That's the worst scenario. I'd rather have my losers be immediate; you know, show me that there's evidence that I'm on the wrong side of the marketplace and I'm offside.

But sometimes it won't happen. Sometimes it'll be really lethargic and they'll start to squeeze on you slowly and then just about when you realize you're on the wrong side, then they'll accelerate towards your stop, or you know, if you don't have a stop, it really, it hurts worse. But that's why we use stop-loss orders. But when we see this sell stop low capitalized by this buying in here, we see this higher time frame price displacement. That means the elephant has put itself inside that pool.

I did a teaching on my tutorial page where I kind of gave you an analogy where if you had a small children's swimming pool in your backyard and you filled it up with water and an elephant stepped inside that small children's pool, what would happen? Obviously, one of two things: if it's an inflatable pool, it probably would collapse. But if it could withstand the fact that the elephant was in that small children's pool, the fact that the elephant getting in that pool would displace the water, it would rise up above the brim of that pool and overflow.

And that's what we're seeing here. This is the evidence of a large body or entity that has a lot more money than us, and they got into the marketplace here. How do we know that? Because price surged, and again, it's a daily chart. So if price can get back down to that level again, price should see a responsiveness on the upside. So we're going to start looking for signs and evidences of institutional sponsorship there because we already identified an area where price should see return to buying again because it had a strong willingness to want to be bought up at this level here. So we're back down that level again, so we should see upside momentum, or if not, for anything else, a short-term bounce that we can actually trade and take some profits off of.

So focusing on this bullish order block here, that's where the institutional sponsorship is going to begin, and it comes in a way of a bullish order block. So we have this idea, when we take this information, we can transpose all these levels down to a lower time frame, but I'm going to build on this idea with this time frame here.

So we got number one and number two of the criteria when we're looking for institutional sponsorship: we see higher time frame displacement, and we see price trading back down into a discount, and closing in, basically returning to a fair value or back to an old area where it was bought up the last time.

The next level is where's the short term buy liquidity? That means the buyers that would be above where current price market is right here. This is where we're assuming the price would be at the time. Where would be the logical area where we'd expect to see the banks want to unload those long positions? If they're going to buy here, where would there be an ideal scenario for them to want to sell those long positions?

Well, we have a short-term high here, we have a short-term high here, but we also have this old swing high back here, which was the midpoint of this overall price swing here. Okay, so we had a consolidation, accumulation, price explodes, and it reverses up here, and it comes back down, back down to the area which it was brought up again.

If we see a willingness to go up, we have to take our position off at logical areas. So we want to see the willingness to see the market run back up into these highs here, run those buy stops, run those buy stops above the short term high, and then ultimately we want to see this high as well, retraded to.

Now if the market can come back above this old high here, that's showing a willingness to do what? Hold for higher prices. So if they're going to hold it to this level here, where would be the next level on this chart that you consider for unloading long positions by the banks?

Well, above this old high, there's buy stop liquidity, obviously, as we noted earlier. So above the marketplace, we have buyers that would be willing to buy up here because why? They have a short position here. And again, it's at market efficiency paradigm. You have to think in terms of the market as the market maker.

So, there's going to be buyers up here. So if you're going to be a bookmaker at the bank and you're buying your net long on your book down here, you want to unload where? Ten pips? Fifteen pips? Up? No, obviously not. You can't move your positions in and out. You're controlling such a large book in a large equity base, you want to get it out of up here. Why? Because there's going to be a pool of buy stops up here in the form of protecting short positions. There's a large degree of buying interest because of that very, very nature of what we're seeing in price. The market has traded lower. They've trailed their stop loss to just above this high here, just above this high here. And stubborn or very strong willed bears will have their buy stop protection right above this old high here, or their protective buy stop for their shorts would be resting just above that high, basically. So if you're going to be buying down here like a bank, you're going to be looking for the move to go up to here.

And price obviously goes up there and hits it. Now here's the thing, as price hits that level right up here, what's it doing? It's pairing orders with buy stops. So that buy stop liquidity is gone. So what's the next level of institutional order flow that suggests price may go to? That old high back here. And what's resting above that old high? Buy stop liquidity.

So now think for a moment. We have a daily chart here where sell stops were ran out. Price was willing to go higher, came back down in that same area here, they bought it up, ran an area of buy stop liquidity, and we have an old high back here still.

If it's going to go up here, that means it's going to be highly unlikely for it to come all the way back down to this level again. Why would that be unlikely? Because we've seen this low here and it rallied higher. We've seen this lower low here that went below this old low and it rallied up. We came back down to that same level here and they bought it again. Now this time we were able to move above this old high, so market structure on the daily chart has now changed to bullishness.

So if we see this, the whole premise behind this teaching is institutional sponsorship should protect price from ever coming back down into this area here. So don't think just because we rallied up here, let's go back down here and let's wait for a price of good and give us a buy signal here and then get us a ride up to that level up here. No, that's not how it's going to happen. We've already cleared an area right here, this old high.

And now think, if we were trying to buy here, okay, and our ultimate objective would be to take our profits up here. If we grade that swing:

- This would be the origin.

- This would be the midway point or equilibrium.

- And in terms would be up here.

So there inside this little section of price action would be the first grade of that price swing. This is equilibrium or midway point. Then there's going to be something up here probably before we get to that level and then ultimately up here, terminus.

So we have four stages of that price swing to identify, and institutional sponsorship should support price at those logical areas in price. Down here, usually it's pretty quick; they don't want to give you an opportunity to get in there. And once it takes off, you've got to look at the equilibrium price point of the overall price leg you're trying to capture.

In other words, we're trying to buy down here and get off our position up here. So we're trying to buy down here and sell to the buy stop traders up here. In other words, anyone that's bearish would have a buy stop above here, or they think this market's going to be a breakout candidate if it gets above that high. Those buy stops are our target.

But in here, we do not expect to see price come all the way back down to this level because we've already seen it trade from this level here, this level here, this level here, and now we have market structure breaking on a very intermediate term basis with this old high being violated here.

So now looking at this, we could see what? We have a down candle in here. Price has already moved to the midpoint of that candle right there. Even though it's a down candle, this is an opportunity to anticipate price doing what? Being protected here. So institutional sponsorship should be identified in this area here. They should not see price come lower.

And if we see that, then it's going to be a high probability the market's going to want to reach up for this level up in here, which is aiming for these old buy stops. So we're going to take a look at that whole thing in the form of a four hour chart. As price came down, hit that level here and gave us that same fractal idea, trading below an old low, okay, because that's what we saw on the daily chart. Price goes just below that old low here and rallies off.

Now think for a second, what's actually occurring here? What's actually happening? What's this right here? What's these two down candles forming? Well, it's dropping price, but it's dropping at a specific level or going into a higher time frame support level. What is it? What's that create when it does that? It's a bullish order block.

It's down price or down candles at an anticipated level of support, where we expect to see institution order flow send price higher. So in other words, we're expecting, we're anticipating that that bullishness in price. Obviously, we have buy stop liquidity above this short term high, that short-term high, and ultimately we have those buy stop liquidity resting above the high that we were just mapping out earlier.

You probably already noticed there's some blue line segments on there, so we're going to start talking about some super secret sauce. We're looking at now a 60 minute chart, and I want you to take a look at the reactions that happen from the blue line segments. And I want you to look at it real close. Those blue lines are one of the coolest things I discovered about price action.

And not only is it indicative of what future price direction may be, but it also gives us prognostication for future setups. It doesn't just give us a right now what should be support or resistance; it gives us a future prognostication for where setups may unfold at a later time.

So let's zoom in a little bit, okay, and I'm going to add again the levels on those short term highs, and we're going to note them as the old high. So every time you see that little gray horizontal line segment, what we're actually drawing your attention to is these old highs here, and that's going to be in the form of those old buy stops.

Okay, so again, you can see there's gray lines here, and all that's just delineating those old highs in the form of price. Now I don't want you focusing on price numbers or anything like that. I just want you focusing primarily on price action alone. The delivery of price is all we're interested in talking about specifically for this teaching.

And we have the beginning of the move here. Price trades down back into, now this is the run below that previous low. So we see price making that low, and then we see a reaction. Then we see price trading lower. All these down candles are building what? That four hour order block. It's a bullish order block beginning right there. So that high on that candle begins the order block that would be deemed a bullish order block on the four hour chart.

But because this is a smaller time frame, we're going to have a lot more candles, obviously. So I want you to take a look at the blue line segments, okay. What I'm delineating there is the opening price at midnight in New York.

We're not concerned about the movement above it; we want to see what happens when price goes below it, okay. Now obviously, going below the opening price here, we have what? What's all this? This is a liquidity void, okay. Price is going to do what? Return back down into an old order block.

Price does what? The very next day, it opens, trades lower, and does what? Rallies. The next day, we open, we trade lower, and then we rally. The next day, we open, small little move below the opening price. An institutional sponsorship steps in again and sends price higher.

The next day, the opening at New York's midnight candle trades lower again, and what happens? Institutional sponsorship steps in one more time, and they buy it again. Rallies up. We start moving into consolidation, and we'll look at each individual stage in price action as we look at it here.

The first one is we have that bullish order block, and price comes back down, it snaps right back into it right here. Five pips added to the level, you could be a buyer at that point. Again, this is in the London time frame.

The next one here is a down candle right at the opening price. In other words, when we find the opening price and then we're going to be looking for a down candle, that down candle should be seeing capitalization of new longs. We see that come to fruition when the down candle is violated, okay. So let me go back to this for a moment. We have this down candle here. This becomes an order block that's bullish when this candle trades through it. So at a later time, when it hits it here, you could be a buyer, and it has to be below the opening price of that day. Now it can happen during London or it can happen in New York. Either one is still a good, viable trade.

The next day here, we see what? Price trades below the opening price. We have a small little order block here, and this one here as well, but we're going to, we're going to say we're not going to worry about that one because we're trading at equilibrium, okay. We're going to wait for an order block to form, which we see right here.

So between this high here and this low here, we're essentially trading at equilibrium. So when we're at equilibrium price points like that, we want to see price give us an order block to give us the justification for wanting to expand higher and away from the equilibrium. We see the down candle here, draw that out in time. Price hits it here, add five pips to that level, we could be a buyer. Price takes off.

We have the opening price here, trades disciple out here. The down candle at that level. Now notice I'm using a down candle prior to that new day; that's okay. You've got to use the previous day's session sometimes. The down candle here is where it's being capitalized; they're buying up more of it. So the institutional sponsorship should be justified by saying what? The down candle being violated on the upside, which you see it here. So when price comes back down, it doesn't come right down to on price. I don't want to give you every possible, you know, perfect scenario.

And then we see another opening price, trades down, but we get a down candle here, and it's violated on the upside, so this becomes a bullish order block. So you could be a buyer here. So now think in terms of Power of Three. Power of Three is the concept I teach as it relates to the daily open high low close bar. So in other words, a time frame of daily charting.

If your minimum trading is trying to capture the bulk of that daily range, you want to be buying near the opening on an up day and exiting on the close. And obviously it sounds like, you know, everyone should know that, but the problem is is 99 of everyone doesn't know how to do that, okay. It's easy to hear conceptually say, oh yeah, of course, it's obvious, but try doing it.

So what I have taught is Power of Three is when you're bullish, you want to be buying near or below the opening price. This scenario does that. Every time it gets you either at, below, or very close to the opening price and allows the range to expand for you and you get a higher close. The reason why we're expecting each day to have a higher close: each day moving from a low up to a higher high close, from a low to higher close, a low up to a higher close, a low up to a higher close, a low up to a higher close, and again, a low up to a higher close, ultimate low to a higher close.

And we start a new day here, we can't see it on this chart yet, but look what's happening: price is being drawn up to that first old high, and look what it does once it gets up that old high, it starts staying sideways, it's consolidating, okay. Traditional support resistance players will see that old high as resistance and they'll want to sell short.

So what's going to happen? They're going to sell short, sell short, sell short, and they'll see what? Price go nowhere, and their buy stops will be just above this old high, and then you run through them again. They come back down, capitalize new longs, and then extends it up where? To the old high here, the second one.

And what's happening there? Same scenario. They give you a reason to expect this thing to go lower because it's resistance, old resistance, okay, should be sold. That's what classic textbooks say. So what's going to happen is they're going to take a short position, put their stop loss, another buy stop right above this old high. They take those positions out right here, so they're not going to see what? Any lower prices.

But we send price back down again into this old order block. Let's pick the next slide. So price in here, that's where, that's where we just left off at. Price comes back down into that order block here, right there, rallies up, and now this is where we stop. We stop short of the ultimate terminus or the objective of the price swing.

It has a retracement and goes lower. Now this retracement lower will get everybody excited, thinking it's been a high formed, okay, so Dollar Yen should be trading lower, get short Dollar Yen. Everyone's going to have that on the forums, everyone's going to be talking about on Twitter, for you know, social media, everything. And it's only just going to go back down to this order block over here, okay. The same capitalized order block that we saw on this initial run here. Why is this one being used again? Because we had this old area of institutional order flow in the form of the old high.

At this point, that's when classic support resistance works because why? We have an unfulfilled objective up here with that old higher high.

So price comes in, accumulates that same position here, consolidation, back to the consolidation, expands up off of an order block. But I want you to think about all these down candles in here, all these down candles on a 15 minute time frame, creates a larger order block on a higher time frame. Draw that out in time, that's the reason why we're seeing price trade here.

So, yes, the market opens here, trades lower, closes in the range, here is liquidity void, back into the order block here. And then we have the opening here, it doesn't go lower. Can't do anything with this yet, so it has to expand. So we can't do anything with a buy on this day here. We wait to the next day, the opening price trades back down, closes in its void back to an order block here, and the beginning of all these down candles, that's the buy here.

The next one, here's the opening price here. It trades just below it here, but it's dipping into this down candle, which is the order block from the previous day in New York, okay.

So I want you to think about where these order blocks are forming. You're referencing old bullish order blocks from the previous day or maybe three sessions ago, and you can buy old bullish order blocks because they're going to do what? Recapitalize them. That's institutional sponsorship; they're defending specific levels. Why should they be defending these particular levels? Because their vested interest is to see it go above that old higher high where they're ultimately looking to try to take out all of their long positions.

Yes, they're going to scale out some here, they're going to scale out some here, they may scale out some about here and here, but ultimately they're trying to drive it up here because that's where a large degree of buyers are going to be. And price ultimately trades down off that candle here and rallies up and ends at terminus.

So I want you to think about when you're looking at price action, everyone asks for what's the order block to use? Well, it starts with understanding where the market should go, okay. And that starts by looking at what we talked about in September, which you should be focusing on right now:

- Down candles right before the up moves.

- Up candles right before the down moves.

- Looking for liquidity voids.

- Looking for old lows to be violated and then rallied off of (that's a turtle soup).

- Or an old high to be rallied through and then rejected and trade softer (that's a turtle soup sell).

All these ideas begin to start taking shape in your price action study, but you have to use specific generic things like time. Every order block that we refer to here is linked to a London session or a New York session, and they're happening from the previous day or a couple days ago, but the idea is they should be capitalized again because there is an underlying interest for the market maker to see price go higher.

When you have that, it makes trading very easy; it allows you to relax and not get so freaked out when you see these retracements like here, okay. All this is is right before the last push up to go to where ultimately the price may go. Now, I don't want to sell the idea that it's always going to go to your levels, okay, because you're going to have to do a lot of learning, you know, studying these ideas. But I want you to focus primarily on the characteristics I've shown you here.

Specific order blocks that take place at London and New York, okay, they will help you discern whether there is institutional sponsorship in your particular trade. If you see the lack of that, chances are you're probably offside, and you're going to want to reduce the risk on the trade or maybe go to the sidelines and wait for another opportunity.

So until the next time, I wish you good luck and good trading.